Smart Invest Premier Insurance
(Regular Premium Investment-Linked Plan)
Plan Code: 0277

PLAN DESCRIPTION

a) This plan is a regular premium investment-linked whole life policy with access to professionally managed Unit Funds with the benefit of the life insurance cover.
b) In addition, this plan provides:
   (i) Loyalty Bonus – Additional 2% Loyalty Bonus will be added to your premium allocation rate for payment of premium for every 3rd policy year.
   (ii) Higher Allocation Rates – Additional 5% allocation rate will be rewarded from 51st policy year onwards.
c) Premiums paid are used to purchase units in the Unit Fund(s). The policy value will vary directly with the performance of the Unit Fund(s).
d) This plan will employ a single-pricing basis, where all transactions will be based on one price only. This single price will now be known as the **Net Asset Value (NAV)**. (For information, it should be noted that the NAV is equal to what is conventionally known as the Bid Price. For single pricing, Offer Price is no longer used.)
e) This plan is not subject to APILP rules and requirements.
f) The policy will lapse if the Total Investment Value (TIV) falls to zero or below. TIV is calculated at NAV at the next Valuation Date.

Launch Date
7th July 2009

PLAN BENEFITS

1. Death Benefit

The Basic Sum Assured (BSA) plus Total Investment Value (TIV) will be payable upon death of the Life Assured.

In the event of death of the Life Assured before age of 5 years next birthday, 100% of TIV and the following percentage of Basic Sum Assured are payable.

Age next birthday of the Life Assured on Policy Anniversary preceding Occurrence of Death or TPD	Revised Amount of the Basic Sum Assured
1	20% of the Basic Sum Assured
2	40% of the Basic Sum Assured
3	60% of the Basic Sum Assured
4	80% of the Basic Sum Assured

Full life cover will be given from age 5 years next birthday.

2. Total and Permanent Disability (TPD) Benefit

In the event of TPD of the Life Assured between age 5 to age 65 years next birthday, the following will be payable.

a) 100% TIV is payable in one lump sum (or be retained with the Company).
b) The Basic Sum Assured not exceeding RM2,000,000 shall be paid in 3 annual instalments with the first being a lump sum of the BSA or RM1,000,000 whichever is lesser, and the balance of the BSA (if any), will be payable in two equal, annual instalments of maximum RM500,000 each.

The maximum TPD Benefit payable under this and all policies and riders on the same life, excluding Mortgage Decreasing Term Policy without Profits (with TPD Benefits), the Enhanced TPD Rider and Term Policy without Profits (with TPD Benefits), is RM2,000,000 per life.

The maximum TPD Benefit payable under this and all policies and riders on the same life, is RM 3,500,000 per life across all distribution channels.

A child lien (as per death benefit) shall apply for child before age 5 years next birthday with a maximum TPD limit of RM500,000 under this and all policies and riders on the same life.

3. Accidental Death Benefit

In the event of Life Assured's death due to accidental cause in the **1st policy year**, the following will be payable in one lump sum:-

Accidental Death Benefit = 10% of Minimum [(Total Premium Paid* minus Partial Withdrawal (if any) made during the 1st policy year, RM1 million]

Provided that:-

(a) Total Premium Paid* minus Partial Withdrawal (if any) made during the 1st policy year must be at least RM20,000 or above; and
(b) The Accidental Death Benefit payable shall be limited up to a maximum amount of RM100,000

**Total Premium Paid is the payment made for Basic Investment Premium and Single Premium Top Up (if any) during the first policy year.*

Note: There is no additional insurance charge for this benefit.

Example 1:

Annual Basic Investment Premium paid at inception = RM10,000
Single Premium Top-Up made in the 5th month of the 1st policy year = RM50,000
Partial Withdrawal made in the 7th month of the 1st policy year = RM20,000
Death occurs due to accidental cause in the 9th month of the 1st policy year

Accidental Death Benefit claimed at death
= 10% [(RM10,000 + RM50,000 – RM20,000), RM1 million]
= RM4,000

Example 2:

Annual Basic Investment Premium paid at inception = RM20,000
Single Premium Top-Up made in the 3rd month of the 1st policy year = RM40,000
Partial Withdrawal made in the 6th month of the 1st policy year = RM15,000
Death occurs due to accidental cause in the 5th month of the 2nd policy year

Accidental Death Benefit is not entitled since the accidental death occurs after policy year 1.

4. Loyalty Bonus

Additional 2% of Basic Investment Premium allocation will be given for every 3rd premium payment year. Please see "Premium Allocation" for further details.

CHARGES

1. Insurance Charge

a) The monthly insurance charges are calculated as the sum assured times one twelfth of the risk rates corresponding to the attained age of Life Assured at last policy anniversary.

b) These charges will be deducted by selling units, at the NAV on the next Valuation Date following the due date of the insurance charges.

2. Management Charge

a) A fund management charge will be deducted at each asset valuation before determining the NAV. Unit prices will reflect the deduction.

b) The management charge to be deducted is:

$$\frac{t}{250} \times K\% \times \text{Value of Fund}$$

where:

t = the number of business days from the preceding Valuation Date to the Current Valuation Date;

K% = the percentage charge (subject to the Investment Committee's approval) for the appropriate fund as follows:

Fund	K%
Lion Growth Fund	1.45
Lion Balanced Fund	1.00
Dana Restu	1.45
Lion Progressive Fund	1.35
Lion Fixed Income Fund	0.50
Dana Sejati	0.50
Lion Strategic Fund	1.25
Lion AU-i Fund	0.75
Lion US-i Fund	0.75
Lion UK-i Fund	0.75

c) Value of Fund refers to the value of the appropriate fund as determined by the Company.

3. Policy Fee

A monthly administration fee of RM6 will be deducted by selling units, at the NAV at the next Valuation Date, at the beginning of each policy month.

NET ASSET VALUE (NAV)

1. NAV

The price at which the policy owner buys the units in a fund and sells the units back to the fund.

2. Determination of Price

NAV of each fund are determined daily, after the valuation of the assets of that fund.

PREMIUM ALLOCATION

1. Basic Investment Premium

The investment premiums are allocated to the Unit Funds at the following rates (including Loyalty Bonus):

Premium Due and Paid	Allocation Rate %
1st and 2nd years	95
3rd year	97
4th and 5th years	95
6th year	97
7th and 8th years	95
9th year	97
:	:
:	:

Note:

(a) Investment premiums will be allocated at 97% allocation rate for every 3rd premium payment year.

(b) Additional allocation rate of 5% will be given from 51st premium payment year onwards.

2. Single Premium Top Up

Allocation Rate : 95%

PREMIUM

i. Premium payment mode

Regular premium

ii. Premium mode factors

Modal premium is determined before annual premium where the annual premium is M times of the Modal premium.

Mode of Modal Premium	M
Annually	1
Half-yearly	2
Quarterly	4
Monthly	12

FLEXIBLE OPTIONS

1. Single Premium Top-ups

A policy owner can make further single premium as investment top-ups subject to the minimum of RM 1,000 each at any time provided the current year's and all previous years' Basic Investment Premium have been fulfilled.

2. Premium Increment

A policyholder can increase the Basic Investment Premium subject to the following constraints below:

Mode of Payment	Minimum Increment (RM)
Annually	600
Half-yearly	300
Quarterly	150
Monthly	50

3. Partial Withdrawal

Monies can be withdrawn by selling some of the units at the NAV in one or more of the invested funds, provided the aggregate value of the remaining units in all funds must be at least RM 2,000.

4. Switching

A policy owner can sell units in any one fund at the NAV and purchase units in any of the other funds at the NAV, at any time after the policy has turned in force.

First switch request for each year is free and the subsequent requests in the same year attract a fee of RM 25 to be payable in cash or cheque for each later switch. More than one switch can be done at one time and this will be considered as a single switch.

5. Guaranteed Insurability Benefit (GIB)

Not applicable

6. Changing Premium Apportionment

A policyholder can alter the premium apportionment at any time at no charge. After the Company receives the alteration request, the next and all future premiums will be apportioned to the Unit Funds in the new premium proportions subject to 5% of minimum Basic Investment Premium listed in the table below:

Mode of Payment	Minimum Amount Apportionable to Each Fund (RM)
Annually	300
Half-Yearly	150
Quarterly	75
Monthly	25

UNDERWRITING

1. Minimum/Maximum <u>Annual Premium</u>

Note: Annual Premium = Basic Investment Premium

Mode of Payment	Minimum	Maximum
Annually	6,000	1,000,000
Half-Yearly	3,000	500,000
Quarterly	1,500	250,000
Monthly	500	83,333.33

Note: The minimum annual Basic Investment Premium for this plan is RM 6,000. The first RM2,000 of annual Basic Investment Premium will be **insurance premium** to determine the Basic Sum Assured of RM10,000, and the premium amount in excess of the first RM2,000 will be considered as **regular top-up premium**. The regular top-up premium per year is subject to a minimum amount of RM4,000.

Sum Assured for Basic Benefit

<u>New Business</u>

Fixed Sum Assured = RM10,000

Note: There is no minimum or maximum Sum Assured for Basic Benefit. The Sum Assured for Basic Benefit is fixed at RM10,000 as stated above.

In Force
In Force Sum Assured = RM10,000

Note: There is no minimum or maximum Inforce Sum Assured for Basic Benefit since Increase or Decrease in Sum Assured (Automatic / Voluntary) is not allowed.

2. Age at Entry
Min/Max Age at Entry
Minimum : 30 days attained age
(19 years next birthday for policy ownership)

Maximum : 70 years next birthday

3. Female Rates /Non-smoker discount
Rates vary by gender and smoker status.

4. Large Sum Assured Discount
Not Applicable.

5. Non-Medical Limits
The proposal will be underwritten based on the combined Sum Assured of Basic Benefit and riders (if applicable). The non-medical limits are based on current Internal Underwriting Guidelines/Field Underwriting Manual.

6. Underwriting for Substandard Life
Follow existing practice.

7. Backdating
Not Applicable.

CHANGES IN SUM ASSURED

1. Increase in Sum Assured
Not allowed

2. Decrease in Sum Assured
Not allowed

ALLOWANCES TO VARY CHARGES

The Company may revise the charges for existing policies in specified circumstances, up to specified limits. The charges are including *Policy Fee, Switching Fee, Management Charge and Insurance Charge Rates.*

FUND ASSET ALLOCATION

Fund Asset Allocation
Policy owner can choose to invest in one or more of:

a) Lion Balanced Fund
A balanced fund which invests in a mixture of equity and fixed income securities comprising convertible debt securities, redeemable debt securities, government-backed bonds/securities. The fund's exposure to equities (between 40% to 60% of the fund) will preserve the long-term purchasing power of assets.

b) Lion Growth Fund

This is a growth fund which invests in companies with good prospects and seeks to maximise capital appreciation over the medium to long term. The fund's allocation to equity investments is from a minimum of 70% to a maximum of 100%.

c) Dana Restu (formerly known as Barakah Fund)

This is a growth fund which invests in companies with good prospects and seeks to maximise capital appreciation over the medium to long term. Allocation to equity investment is between 70% to 100% of the portfolio. Dana Restu invests in Syariah-approved securities.

d) Lion Fixed Income Fund

Invests in government securities, corporate bonds and money market securities. The fund allocates a minimum of 40% and a maximum of 95% to fixed income securities. The aim of the fund is to preserve the capital and it appeals to risk-averse investors.

e) Lion Progressive Fund

This fund seeks to maximise capital appreciation over the medium to long term while reducing risk through a diversified portfolio of investments comprising equities and fixed income securities. In general, the fund invests in a minimum of 50% and up to a maximum of 90% in equities.

f) Dana Sejati (formerly known as Mauzuun Bond Fund)

This fund invests in Islamic fixed income instruments and money market deposits. The fund allocates a minimum of 40% and a maximum of 95% to Islamic private debt securities. The aim of the fund is to preserve capital and provide consistent return to risk-averse investors.

g) Lion Strategic Fund

This fund seeks to achieve medium to long-term capital appreciation while reducing risk through a diversified portfolio of investments comprising equities, fixed income securities and money market instruments. The initial equities exposure is targeted in between 55% - 75%. However, there is also a flexibility to invest entirely in fixed income securities or equities.

h) Lion US-i Fund

This fund seeks to achieve medium to long-term capital appreciation, with primary focusing in equities listed in the US market, with up to 100% allocation. The fund is passive managed through indexing. The replication of the benchmark index can be through 100% invested in listed exchange traded funds (“ETFs”), direct investment into the index constituents or any other financial instruments that can replicate the index. The benchmark of the index is S&P500.

i) Lion UK-i Fund

This fund seeks to maximise capital appreciation over the medium to long term, with primary focusing in equities listed in the UK market, with up to 100% allocation. The fund is passive managed through indexing. The replication of the benchmark index can be through 100% invested in listed exchange traded funds (“ETFs”), direct investment into the index constituents or any other financial instruments that can replicate the index. The benchmark of the index is FTSE100.

j) Lion AU-i Fund

This fund seeks to achieve medium to long-term capital appreciation, with primary focusing in equities listed in the Australia market, with up to 100% allocation. The fund is passive managed through indexing. The replication of the benchmark index can be through 100% invested in listed exchange traded funds (“ETFs”), direct investment into the index constituents or any other financial instruments that can replicate the index. The benchmark of the index is S&P/ASX200.

OTHER PRODUCT FEATURES

Surrender Values

The cash value of the policy is the total value of all the units in all the funds selected by the policy owner based on the NAV at the Next Valuation Date.

Paid-up Values / Extended Term Assurance / Policy Loans / Automatic Premium Loan / Bonus Rate / Option to Purchase New Policy

Not applicable.

RIDERS / SUPPLEMENTARY BENEFITS

Unit Deduction Riders available: -

Waiver and Payer Benefits

a) Waiver of Premium – Dread Disease (U26)
b) Waiver of Premium – Total & Permanent Disability (U31Y)
c) IL Waiver of Premium Plus (U63)
d) Payer Benefit (U16Y)
e) Payer Benefit Plus (U17Y)

Note:

i. Please refer to the product write-up for the above riders for details.
ii. All attaching riders will be automatically terminated when the basic policy terminates due to any reason.

OTHER PRIVILEGES

Assignment/Third Party Policy

i. There is no restriction on assigning and this plan can be issued as Third Party policy.
ii. 5% Service Tax is applicable to all premiums including single premium top-ups paid by business organisation as third parties.
iii. The minimum age at entry for policy owners should be 19 years old (no age limit for life assured).

Free-Look Period

Policy owner is allowed to cancel the policy within 15 days. The following will be refunded.

a) Total Investment Values of the policy based on the NAV at next Valuation Date; and
b) The investment values of the units which have been cancelled to pay for insurance charges and policy fee; and
c) The amount of the premiums that have not been allocated;

Less

Medical expenses incurred for medical examinations, if any.

Termination of Premium Payment

Termination of premium payment does not directly result in policy termination. The policy continues to remain in force as long as the Total Investment Value (TIV) is positive.

EXCLUSION

In the event of death of Life Assured that is resulted from commits suicide within one year from the Risk Commencement Date while sane or insane, the Company shall refund all of the following:

1. Total Investment Values of this policy;
2. the Investment Values of the units which have been cancelled to pay for Insurance Charges and Policy Fees due after the Commencement Date; and
3. the amount of premiums that have not been allocated to purchase units.

No payment of benefits will be made for Total and Permanent Disability which: -

1. Resulted from self-inflicted bodily injuries while sane or insane; or
2. Resulted from bodily injury sustained as a result of parachuting or sky diving or engaging in aerial flights other than as a crew member or as a fare-paying passenger of an International Airline operating on a regular scheduled route; or
3. Existed at Risk Commencement Date of this Policy or at the date of any reinstatement, whichever is later.

Please refer to the policy contract for full details.